

at the start of any month. Even if the investor who bought in at a lower price might be okay with a bit of a drawdown, the one who bought at the top may be a little grumpier.

Managed-accounts clients are generally stickier, as the industry term goes, than hedge-fund clients. This refers to the notion that the managed-account clients tend to stay longer with a manager and it takes more for them to close the relationship than for a hedge-fund client. This is largely due to the fact that the manager has much more personal interaction with a managed-account client than with a hedge-fund client, who is often completely anonymous to the manager. On the flipside, it is generally more difficult to find managed-accounts clients in the first place and they require more admin and relationship management.

A common concept in measuring risk-to-return profile is the Sharpe ratio. This ratio measures return above risk-free interest rate, divided by the standard deviation of the returns. For systematic strategies, anything above 0.5 is normally considered acceptable, and the higher the better, of course. A fair case can be made against the use of Sharpe ratio for these kinds of strategies, however, because it penalises both upside and downside volatility where only one of them is negative to an investor. The Sharpe ratio is very well known, easily explainable to clients and comparable across funds and so it does have some merits, but a good complement to use is the Sortino ratio. This is a very similar concept but punishes volatility only on the downside, or below a required rate of return.

When analysing your strategies' potential drawdowns and recovery times, you also need to consider the crasser factor of your own profitability. Although you should target to be able to at least break even on the management fee alone, all hedge-fund and futures account managers are, sometimes painfully, aware of the fact that the real money comes from performance fees. If you are in a drawdown for two years, you don't get paid any performance fees for two years and that could mean a very large difference in your own bottom line. After all, you are still running a business.

■ Subscriptions and Redemptions

Client money inflow and outflow can create a headache for many money managers. You need to have a clear plan for how to handle this aspect and what to do when money comes in or goes out. This is a larger problem than it might sound and can have a significant effect on the return. When you get